

Chapter 6. Servicing Requests

A. General Requirements

Frequently after a 7(a) Loan has been disbursed, circumstances change that can give rise to Borrower requests for Loan Actions. These Loan Actions can lead to Lender Servicing Requests that range anywhere from a simple request to change a Borrower's mailing address to a complicated request involving the exchange or substitution of collateral.

Regardless of the level of complexity, Lenders must review, analyze and act upon all Loan Actions in accordance with Prudent Servicing and Prudent Liquidation practices. As long as the Borrower is financially viable, when responding to a Borrower's request for a Loan Action, Lenders should strive to meet the Borrower's short-term and long-term needs without impairing the integrity of the 7(a) Loan program, i.e., preserving the Borrower's ability to repay the 7(a) Loan over time.

B. Review and Analysis

Generally, Lenders should not modify Loan Documents unless there has been a material change in the Borrower's circumstances since the Loan was made. The Supporting Documents and level of analysis required for SBA to make an informed decision regarding whether to approve or deny a Servicing Request, and under what conditions, will vary depending on the circumstances. In all cases, Lenders must justify and document their decision in a Loan Action Record that is independent of any document prepared by a senior lienholder or any other Person with a conflict of interest. Lenders should follow the relevant steps listed below to ensure that each Servicing Request is properly reviewed and analyzed.

1. Document Receipt of the Servicing Request

Lenders must enter all Loan Actions into their Computer Tracking System and/or Loan File.

2. Ensure that the Servicing Request is in the Proper Format

Lenders should require Borrowers to submit all requests to modify the terms and/or conditions of a 7(a) Loan, in writing.

3. Research the Applicable Loan Program Requirements

a. Requests Concerning Assumptions, or Substitution of Collateral or Obligors

For assumptions and the substitution of collateral or Obligors, Lenders must comply with the Loan Program Requirements of [SOP 50 10](#) in effect at the time the action takes place, in accordance with [13 C.F.R. §120.180](#). (Also see Chapters 8 & 11 of this SOP)

b. All Other Servicing Requests

Lenders may refer to Chapters 7 through 12 of this SOP for guidance on developing Servicing Requests for some of the more common Loan Actions.

4. Determine Whether the Servicing Request is Properly Supported

Lenders should ensure that all Servicing Requests include the Supporting Documents that a prudent lender would need to make an informed decision. For example:

a. Servicing Requests Involving Credit Issues

Generally, Lenders should ensure that all Loan Actions that require a credit analysis (e.g., an increase in the amount of the 7(a) Loan or prior lien) are supported by the Borrower's:

- (1) Current financial statement; and
- (2) Most recent two years of federal income tax returns.

b. Servicing Requests Involving Collateral

In addition to the financial documents listed above, Lenders should ensure that Loan Actions involving collateral (e.g., subordination, substitution or release of lien) are also supported by a current:

- (1) Appraisal of the relevant collateral;
- (2) Lien search, i.e., a title report if the action involves real property collateral, or a UCC search if the action involves business personal property collateral; and
- (3) Transcript of account or other credible evidence of the balance owed on any senior liens.

5. Obtain Additional Supporting Documents When Necessary

Lenders should obtain any additional Supporting Documentation needed to properly analyze and approve their Servicing Request. For example:

a. Credit Report

Generally, Lenders should order a new credit report to verify the financial information submitted in support of the proposed Loan Action.

b. Obligor Financial Statements and Tax Returns

Lenders should require all Obligors, including the Borrower and all Guarantors, to provide current financial statements and federal income tax returns for the most recent two years when a complete analysis of each Obligor's repayment ability is necessary.

c. Refinance or Purchase and Sale Documents

Lenders must obtain an executed copy of all the relevant documents, (e.g., purchase and sale agreement, escrow instructions, estimated closing statement (HUD-1), seller carry-back note, etc.) if their Servicing Request involves the sale or refinance of

collateral.

d. Environmental Investigation Report

Lenders should obtain an Environmental Investigation Report when required by Chapter 5 Paragraph C of this SOP.

e. Evidence of Authority to Take Proposed Action

Lenders should obtain and provide proper evidence to establish that each Person whose signature is necessary has the required authority to execute the Loan Documents involved in the Servicing Request, e.g., a board of directors' resolution.

6. Analyze the Borrower's Financial Condition

Lenders must analyze the Borrower's financial statements to determine whether the Borrower is financially viable, i.e., will be able to repay the Loan if the request is approved. If the Borrower is viable, Lenders should proceed to Step 7. If not, Lenders should deny the requested Loan Action and take more appropriate actions. (See Chapter 15 of this SOP for guidance on classifying Loans into liquidation status.)

7. Analyze the Collateral

If the Servicing Request will impact the collateral, Lenders should conduct a thorough analysis of the Recoverable Value of the collateral before and after the requested Loan Action.

8. Check for Problems

Lenders should review the existing Loan Documents and their Computer Tracking System to: (1) ensure that all Loan Actions are consistent with the Borrower's previous representations; and (2) ascertain whether there are any non-monetary Defaults, collateral deficiencies, or problems with the Loan Documents that need correction.

9. List Conditions for Approval

a. Compliance with Terms and Conditions of Loan

Lenders should condition their approval of every Loan Action upon the Borrower curing any Default identified in Step 8 above. For example, Lenders should require Borrowers to reinstate lapsed insurance coverage and/or provide any past due financial statements prior to approving any Loan Action.

b. Adequate Consideration

Lenders must ensure that Borrowers provide consideration (i.e., something of value), before or at the same time the Borrower receives the benefit of a proposed requested Loan Action, to make the change in the Loan Documents legally binding. For example, as consideration for granting a Loan Action, Lenders could require Borrowers to:

- (1) Fix errors in the Loan Documents identified in Step 8 above;
- (2) Waive defenses to litigation;
- (3) Release lender liability claims; or
- (4) Provide additional collateral.

Note: All contracts must be supported by valid consideration, which can take the form of money, physical objects, services, promised actions, abstaining from a future action, etc. For example, adequate consideration for a routine Loan Action such as a temporary payment deferment can include requiring the Borrower to provide updated financial information.

c. Written Consent of All Obligor

Lenders must obtain the written consent to any material change in the terms and conditions of the Loan from each Obligor, to protect the legal ability to recover from them in the event of Default.

10. Comply with SBA Decision Making, Notice and Approval Requirements

Unless the Lender has unilateral authority to take the requested Loan Action and no notice to SBA is required, Lenders must comply with applicable SBA Loan Program Requirements pertaining to decision making authority and notice to SBA. (See Chapter 3 of this SOP for additional guidance on Lender responsibility and authority). Unless prior SBA approval and/or notice to SBA is required, Lenders should not notify the SBA Loan Center regarding their routine Loan Actions.

11. Comply with the Applicable Recordkeeping Requirements

In accordance with Chapter 3 of this SOP, Lenders must note and/or enter SBA's response to all Servicing Requests in the Lender's Computer Tracking System and/or Loan File; keep a copy of the Loan Action Record and Supporting Documents in the Lender's Loan File; and enter the substance of any telephone calls and/or face-to-face meetings regarding the Servicing Request in the Lender's Loan File and/or entered into the Lender's Computer Tracking System.

Note: Best Practice: Lenders should consider placing a copy of the [Servicing and Liquidation Actions 7\(a\) Lender Matrix](#) in effect at the time the Loan Action is taken, and that was relied on, in their Loan File.

C. How To Obtain SBA Approval for a Proposed Loan Action

If SBA's prior written approval is required before a Lender may take a Loan Action (see Chapter 3 of this SOP for a detailed list of such actions), Lenders must submit a written Servicing Request to the appropriate SBA Loan Center in accordance with the guidelines listed below.

1. Required Documentation

a. Letter Outlining Request

Lenders should submit all Servicing Requests that require prior written SBA approval in a clearly and concisely drafted letter or electronic mail submission based on the Lender's internal credit memorandum. Lender Servicing Requests must not exclusively rely on any document or analysis prepared by a Person with a conflict of interest, such as a senior lienholder. Although SBA reserves the right to request additional information, all Lender Servicing Requests should include:

- (1) A brief description of the proposed Loan Action;
- (2) Justification for the proposed Loan Action, i.e., benefit to the Borrower, Lender and SBA—neither abundance nor lack of collateral alone is sufficient justification for a Loan Action;
- (3) The amount funded, date of funding, current balance and status of the 7(a) Loan;
- (4) The current financial condition of the Borrower and other Obligors, as needed;
- (5) If the proposed Loan Action increases the risk of loss on the 7(a) Loan, Lenders should include any mitigating factors that may increase the value of the 7(a) Loan collateral or improve the performance of the Borrower's business; If the proposed Loan Action will impact the collateral, Lenders must include a summary of prior Loan Actions impacting the collateral and an analysis of the Recoverable Value of the collateral both before and after the proposed Loan Action;
- (6) A summary of the Lender's prior servicing experience with the Borrower, i.e., 7(a) Loan and non-SBA loan modifications or problems pertinent to the request;
- (7) If the written consent of the FTA on behalf of the registered holder is required, whether the Lender has or will obtain it; and
- (8) A list of all the Obligors associated with the Servicing Request and a statement from the Lender as to whether they have or will obtain consent from all the Obligors for the proposed Loan Action.

b. Credit Memo and Supporting Documents

Lenders should include a credit memo, which must be independent of any document or analysis prepared by a Person with a conflict of interest, such as a senior lienholder, with every Servicing Request they submit to SBA for approval. Generally, Lenders do not need to include a copy of the Borrower's financial statements or other Supporting Documents such as Appraisals, etc., if the Lender has adequately

analyzed the Supporting Documents in their credit memo, subject to SBA's request for additional information as needed.

2. Where to Submit Servicing Requests

Lenders must submit all Servicing Requests to the appropriate SBA Loan Center. Prior to final disbursement of a 7(a) Loan, Lenders should submit Servicing Requests to the LGPC in Citrus Heights, CA, or for EWCP Loans, the appropriate [USEAC](#). After final disbursement, Lenders should submit Servicing Requests for all Loans in regular servicing status to the CLSC and the CLSC will consult with the appropriate [USEAC](#) as needed. For SBA Express, Export Express, Community Advantage and any Pilot Program Loan in liquidation status, Lenders should submit Servicing Requests to the CLSC. Servicing requests for all other Loans in liquidation should be submitted to NGPC. (See definition of "SBA Loan Center" in Chapter 2 of this SOP for additional guidance on where to send Servicing Requests.)

3. SBA Response Time

SBA will attempt to respond to a Lender's request for approval of a Servicing Request within 15 business days from the date that SBA received the request, ([13 C.F.R. §120.541](#)), or sooner if possible. SBA's failure to provide a response to a Lender's Servicing Request within 15 business days does not imply that SBA has approved the Servicing Request.

Note: SBA will not provide written approval for proposed Loan Actions that fall within the Lender's unilateral authority.

D. Implementing Loan Actions

Lenders must implement Loan Actions in accordance with Prudent Servicing and/or Prudent Liquidation practices. For example, Lenders may need to:

1. Modify Existing Loan Documents

If the approved Loan Action modifies the terms and conditions of the Note or any other Loan Document, Lenders must modify each impacted Loan Document;

2. Prepare New Loan Documents

Lenders must properly prepare and ensure proper execution of any new Loan Document needed to implement an approved Loan Action; and

3. Record New or Modified Loan Documents

Whenever necessary, reasonable and/or customary, Lenders must properly record modified Loan Documents, as well as any new Loan Documents, in the public record.